THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

CAA-25/PB/2018

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

Scheme of Amalgamation

of

Novarris Fashion Trading Private Limited

Transferor Company/ Non- Petitioner

WITH

Jade E- Services Private Limited

Transferee Company/Petitioner

Judgment delivered on: ***02.07.2019***

CORAM:

CHIEF JUSTICE (RTD.) M. M. KUMAR, Hon'ble President

Mr. S. K. MOHAPATRA, Hon'ble Member (T)

Present:

For Petitioners:	Mr.Rajat Joneja, Advocate
	Mr.Krishna Tangirala, Advocate
For the O.L.	Mr. Amish Tandon, Mr. Rohit Saroj, Advs.

ORDER

M. M. KUMAR, PRESIDENT

1. This petition has been filed by the Petitioner Company (for brevity Transferee company") under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as the "Scheme") of the transferor company with the Petitioner Transferee Company.

2. It is seen that the registered office of the petitioner transferee company is situated in NCT of Delhi; within the territorial jurisdiction of this Bench. It is pertinent to mention here that the non-petitioner transferor company is having its registered office situated under the territorial jurisdiction of National Company Law Tribunal, Chandigarh Bench, beyond the Jurisdiction of this bench.

3. The "Transferee Company", Jade E- Services Private Limited was incorporated on 28.02.2011 under the provisions of companies Act, 1956, having its registered office at office A-25, Mohan Co- operative Industrial Area, New Delhi- 110044.

4. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meetings of Shareholders and Creditors of the transferee company was filed before this Bench vide CA (CAA) No. 151 (PB) 2017 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the petitioner transferee Company were dispensed with, vide order dated 09.02.2018 passed by this Bench.

5. On 15.03.2018 the Petitioners were directed to carry out publication in the newspapers 'Business Standard' English Delhi edition as well as in 'Jansatta" Hindi Delhi edition. In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and

Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

6. It is seen from the records that the Petitioner company has filed an affidavit dated 29.05.2018 affirming compliance of the order passed by the Tribunal dated 15.03.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 15.05.2018 as well as in 'Jansatta' New Delhi edition again on 15.05.2018 in relation to the date of hearing of the petition. Pursuant to the notice issued to the Regional Director, Registrar of Companies, and Official Liquidator have filed their report and participated in the proceeding.

7. The Regional Director has filed its representation dated 25.09.2018 in which it is submitted that in reference to clause13 of the proposed scheme, the petitioner companies shall ensure the compliance of the provisions of Section 232(3) (B) (i) and Section 233 (11) read with Section 233 (12) of the Companies Act, 2013.

8. The Regional Director has also submitted that the transferor company is having its registered office address under the jurisdiction of National Company Law Tribunal, Chandigarh. However, the said company has not yet filed separate copy of petition, if any, for the proposed amalgamation moved before the Tribunal at Chandigarh so far. Hence, the said company may be asked to submit a copy of petition along with relevant annexure with office for further course of action in the matter.

9. In response to the representation of the Regional Director the transferee company has filed an undertaking by way of affidavit dated 16.10.2018 confirming that the transferee company will pay the requisite stamp duty as applicable under the Indian Stamp Act, 1899, on allotment of shares to the shareholder of the transferor company pursuant to approval of the present scheme of amalgamation, within one month of the Effective date of the said scheme of amalgamation. The petitioner company also undertakes to comply with the applicable provisions of Section 233 of the Companies Act, 2013.

10. The transferee company has filed an another affidavit dated 18.04.2019 in which it has been submitted that the instant matter was listed on 10.04.2019 before Tribunal and on the said date the Counsel for the Official Liquidator, Regional Director and Income Tax were present and have not raised any objection to sanction the scheme of amalgamation. It is further submitted by the applicant company that the scheme does not fall within the ambit of Section 4 and 5 of the Competition Act, 2002 and content on the scheme is not required to be provided to the Competition commission. Further is has been confirmed by the transferee company that it is not governed by any other regulatory authorities.

11. The Income Tax Department has filed its report dated 09.10.2018 wherein it is submitted that the Department has no objection in respect of the Scheme of amalgamation.

12. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under

provisions of Companies Act, 1956 is pending against the Petitioner Companies.

13. Certificates of respective Statutory auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

14. The shareholders of the applicant company are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

15. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three judges Bench of Hon'ble Supreme Court held that:

> *'A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process.'*

16. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules.

17. It has also been affirmed in the petition that the Scheme is in the interest of the transferor company and the transferee company including their shareholders, creditors, employees and all concerned.

18. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the

affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official liquidator, there appears to be no impediment in sanctioning the present Scheme.

19. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

20. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

21. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

22. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in

accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

23. **THIS TRIBUNAL DO FURTHER ORDER**

1. *That all the property, rights and powers of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.*

2. *That all the liabilities and duties of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

3. *That all proceedings now pending by or against the Transferor Company, be*

continued by or against the transferee company; and

4. *That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date.*

5. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the transferee company*

and the files relating to both the petitioner companies shall be consolidated accordingly; and

6. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

02.07.2019

(M.M. KUMAR)
PRESIDENT

Sd/-

(S.K. MOHAPATRA)
MEMBER (T)

Pronounced today under Rule 151 of the NCLT Rules 2016 as Mr. S.K. Mohapatra, Hon'ble Member (T) is not holding Court today.

(Nirmala Vincent)
Court Officer

Deepak Kumar